Brazil Macro Monthly

Weaker BRL, higher inflation

- Room for the Fed to start its easing cycle is finally consolidating and may even begin before our December projection. Nevertheless, rates in DMs should remain restrictive until inflation has sustainably converged to target.
- In Brazil, we continue to see GDP growth at 2.2% in 2024 and 1.7% in 2025. The heated labor market supports demand in the short term. Further ahead, tight monetary policy for longer should curb consumption and investments.
- We forecast the central government primary deficit at 0.5% of GDP in 2024 and 0.7% in 2025. Risks on the expenditure side should require a spending block of up to BRL 16 billion this month. We still see revenue below the government´s forecast.
- The BRL has underperformed its peers, reflecting the worsening risk perception regarding the conduct of economic policy. We adjusted our forecasts to 5.40 reais per dollar for 2024 and 2025 YE (5.00 and 5.15 before), assuming that part of the higher risk premium will be long-lived.
- In addition to the exchange rate depreciation, medium-term inflation drivers have deteriorated. We lifted our IPCA inflation forecast to 3.8% in 2024 (3.7% before) and to 4.3% in 2025 (4.0% before).
- We keep our Selic rate projection at 10.50% until 2025 YE, with the CB aiming for inflation to converge to the target by 2026. The bar for hikes, in our view, is high. It may occur, however, if the BRL continues to depreciate, spurring Copom's IPCA forecasts to well above the target.

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XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	2.2	1.7
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	7.3	7.5
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	3.8	4.3
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	10.50	10.50
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	5.40	5.40
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.7	-1.0
Primary balance for target calculation (% GDP)*	–	–	–	–	–	-0.5	-0.6
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.5	-0.8
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	77.2	80.5
Trade Balance (USD Bn)**	26.5	32.4	36.4	44.2	80.5	84.0	89.0
Exports (USD Bn)	225.8	210.7	284.0	340.3	344.4	350.0	362.0
Imports (USD Bn)	199.3	178.3	247.6	296.2	263.9	266.0	273.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-48.3	-28.6	-34.5	-31.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.5	-1.3	-1.6	-1.4
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	67.0	73.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.1	3.2
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,180	2,290
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,529	12,243

* Excludes court-ordered payments beyond the limits and aid to RS

** Historical data series does not yet consider the reclassification of cryptoassets transactions

Source: IBGE, BCB, Bloomberg, XP

Foreword – Higher uncertainty, higher risk premium

Risk premium for Brazilian asset prices increased markedly in recent months. The BRL is almost 13% weaker year to date, underperforming most of its peers (see chart). The future DI market is pricing in more than 200-bp hike until 2025 yearend. Is this movement happening out of the blue? Not really.

Last month we wrote here that macro indicators for 2024 were okay, but some concerning trends, such as primary expenditures growth and the heated labor market, would demand some economic policy reaction ("Will ends meet?" Brazil Macro Monthly, June 24).

In order to comply with the fiscal law, we estimate that the government would need to block some BRL 16 billion in discretionary expenditures in the second half. Signaling from the Ministry of Finance suggest a lower effort to do so. Some clarity would help to reduce uncertainties and risk premium.

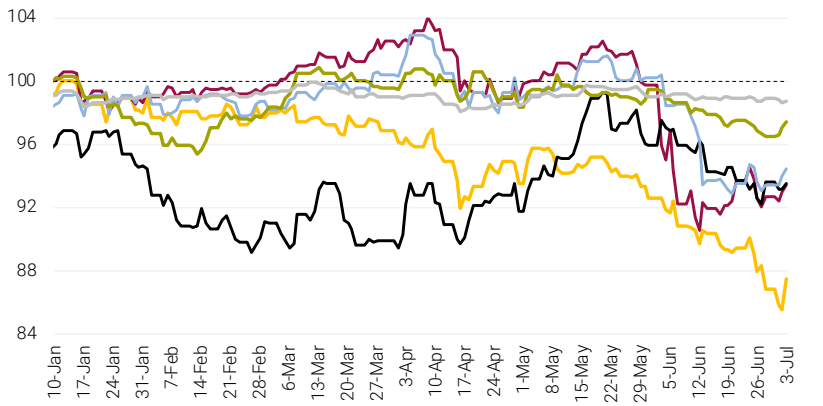
On the monetary front, the increasing tension between the central bank and Executive Branch brings doubts on monetary policy independence after Governor Campos mandate ends in December. That uncertainty will not dissipate, even with the Copom acting technically in the short run.

For our baseline scenario, we see some reaction from policymakers and, thus, some risk relief. But part of the damage should be more persistent. Thus, we adjusted our FX forecast to 5.40 reais to the dollar this year, from 5.00 before. Consequently, we rose our IPCA forecast to 3.8% for 2024 (3.7% before) and to 4.3% for 2025 (4.0% before).

We believe that this will not be enough for the Copom to change gears and launch a tightening cycle. We see the committee keeping rates at the current (restrictive) level for a long period, extending the convergency horizon to 2026.

However, if the risk premium continues to escalate and the BRL stabilizes at around 5.80 reais per dollar or weaker, inflation forecasts will move significantly away from the target. Under those circumstances, the Copom may opt to hike rates in the second half of this year.

Real decouples from its peers amid domestic risks
Exchange rate index. Jan/2024=100 (upward move = appreciation)



Source: BBG, XP

Global backdrop – Light at the end of the tunnel

Francisco Nobre

Following very hawkish Q1 data in the US, recent indicators brought relief. On the jobs front, net job gains have been volatile, although the general trend shows declaration, while supply and demand for workers is coming into better balance (graph). Regarding prices, both CPI and PCE inflation eased considerably in the past two prints, with May data being particularly benign. The breakdown was even more encouraging, given that the super core services index surprised to the downside, easing recent concerns regarding a reacceleration in inflation dynamics. This category should have a strong influence on the Fed's reaction function. That said, the overall dataflow remains somewhat stronger than levels consistent with equilibrium, and we see core PCE inflation ending the year at 3.0%.

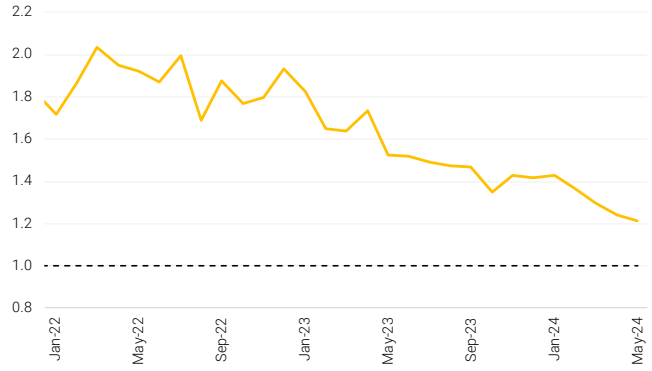
The Fed continues to focus on the big picture. The June FOMC meeting was hawkish this time around. Regarding the SEP, the median projection indicated only one 25 bps rate cut in 2024, down from three in the previous report. Also, Powell's post-meeting press conference leaned towards keeping patient until further progress is made towards reaching the 2% target. In our view, this was a positive development, given that keeping a firm communication helps keep financing conditions tight, increasing the chances of taming inflation.

Our forecast for a December rate cut is biased to the downside. We still think that the risk of cutting too early outweighs the risk of cutting too late, given that economic activity and the labor market remain robust, while services inflation is still very high. However, we attribute downside risk to our forecast, which we previously believed was balanced. There will be three more rounds of data until the next September meeting, and if indicators remain soft, the Fed may find space to ease by then. In any case, room to start the easing cycle is finally consolidating. Rate cuts in the US should bring relief to global asset prices and reduce pressure on EM currencies.

A cautious start to easing cycles in Europe. The ECB lowered its three key interest rates by 25 bps, in line with our long-standing projection since the end of the tightening cycle in September. However, the board did not commit to any interest rate path, and it seems that monetary policy is set to remain restrictive for a long time. In our view, conditions to continue with an easing cycle deteriorated recently amid lingering concerns over wages and possible inflation persistence (especially that of services). Our baseline scenario considers a quarterly easing pace, although the next steps will depend on services inflation, wages, and the Fed.

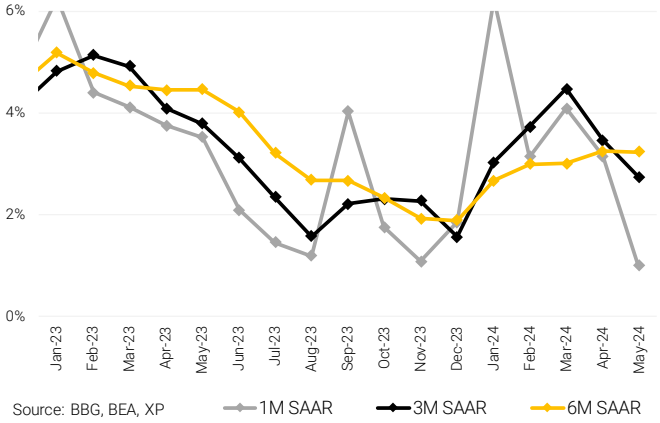
Meanwhile, in the UK, the June MPC meeting revealed that the BoE is likely to start cutting rates soon despite the upside surprise in services inflation. However, as is the base in all DM,

US labor market coming into better balance
JOLTS job openings/unemployed persons ratio



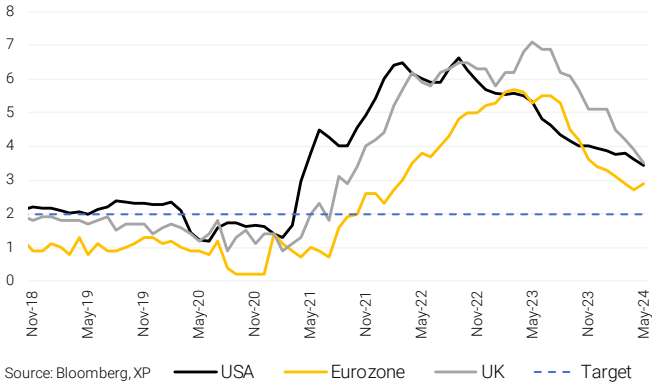
Source: BBG, XP

Recent US inflation data were benign, although more is needed
Core PCE Deflator. seasonally adjusted, annualized data



Source: BBG, BEA, XP

Inflation in developed economies lingers above target
Core CPI. YoY (%)



Source: Bloomberg, XP

further relief will be needed to allow for ongoing monetary policy easing.

In all cases, however, monetary policy should remain in restrictive territory until inflation has sustainably converged to target.

China remains dependent on stimuli to achieve its 5% growth target. In May, Chinese activity data was mixed, marked by weaker-than-expected industrial output growth and strong retail sales on the back of the holiday boost. Meanwhile, the June PMI reading continued to weaken. The latest activity indicators suggested the economy needs fresh stimulus amid ongoing deflation risk, persistently feeble demand, and prolonged property downturn. Figures came ahead of July's Third Plenum, during which China's Communist Party may launch big shifts in economic policy.

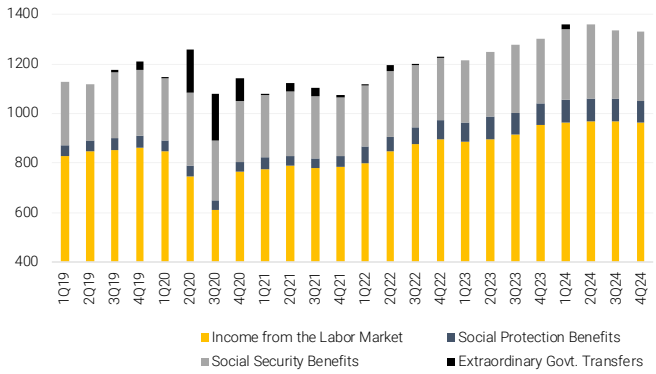
BRAZIL – Weaker BRL, higher inflation

Activity – Heated labor market supports domestic demand

Rodolfo Margato

Domestic demand remains solid amid employment and income growth. The main labor market indicators continue to show positive signs. The Brazilian unemployment rate reached 7% in May (monthly and seasonally adjusted data), the lowest level since 2014. Meanwhile, real wages have been on an upward trajectory since 3Q23 (accumulated growth of about 4% in the period), which should not be reversed in the short term. Consequently, real household disposable income is expected to increase by approximately 6% in 2024, above initial expectations, reinforcing the sanguine outlook for consumption.

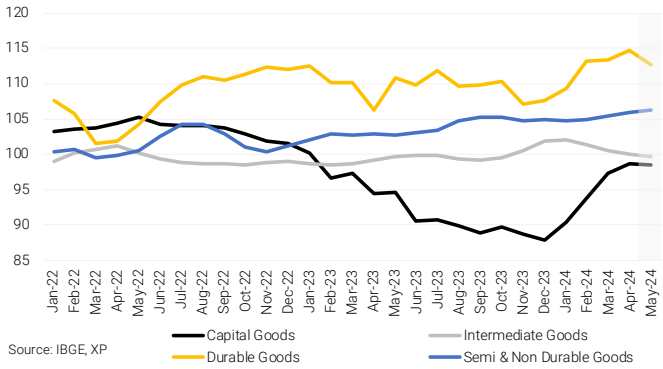
Real household disposable income will surge around 6% in 2024
Seasonally adjusted data (BRL Bn)



Source: IBGE, STN, Caixa Econômica Federal, XP

Our projection for 2024 GDP growth remains at 2.2%. As discussed in our previous monthly report, the strength of the labor market and the positive surprise in 1Q24 GDP results could lead to a bullish revision in the economic growth projection this year. Nonetheless, the natural disaster in Rio Grande do Sul erased this upward bias. Recent releases of activity data have shown the impact of the floods, such as the widespread contraction in industrial production for May. We estimate that Brazil's GDP increased by around 0.5% QoQ in 2Q24. If it were not for the impact of the floods, the growth rate recorded in 1Q24 (0.8% QoQ) could be repeated or even exceeded. The shock in Rio Grande do Sul is expected to reduce Brazil's annual GDP growth by up to 0.2pp, which already considers the first reconstruction efforts throughout the second half of the year.

Industry continues to recover. May's negative result is explained by the floods in RS
Jan-22 = 100, seasonally adjusted data, 3MMA



Source: IBGE, XP

We anticipate an economic slowdown in 2025 amid heightened risk perception and tight monetary conditions. Our projection for next year's GDP growth remains at 1.7%, slightly

below potential. The higher risk perception in the domestic economic environment – especially regarding the dynamics of fiscal accounts and inflation – and the scenario of high interest rates for longer tend to cool down demand throughout 2025, with emphasis on investments and durable goods consumption.

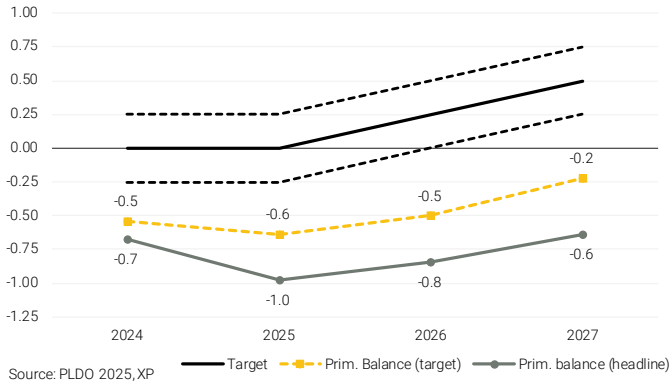
Public finance – Expenditure growth adds pressure on the fiscal framework

Tiago Sbardelotto

Expenditure drives the deficit in the short term. In May, the central government recorded a BRL 61.0 billion deficit. On the revenue side, there was a 9.0% YoY increase in real terms, driven by extraordinary gains from the taxation of investments abroad (BRL 7.1 billion), not enough to cope with the high volume of expenditure in May, which grew by 14.0% YoY in real terms. The general government's gross debt (GGGD), in turn, reached 76.8% of GDP, the highest level since February 2022.

Higher exchange rate could support revenue. The devaluation of the BRL (see external accounts section) has a positive impact on tax collection, particularly on taxes linked to imports, royalties, and special oil shares. As a result, **we have slightly changed our 2024 primary deficit from BRL 60.6 billion (0.5% of GDP) to BRL 54.5 billion (0.5% of GDP).** Considering the extraordinary expenses related to aid to Rio Grande do Sul - which have already reached BRL 23.4 billion - the deficit could reach BRL 77.9 billion (0.7% of GDP). However, the costs of reconstruction have only just begun, and we believe they could be closer to BRL 40 billion, in which case the primary deficit could reach close to BRL 100 bn (0.9% of GDP).

Achieving the primary balance targets remains a challenge
Primary balance as % of GDP



Source: PLDO 2025, XP

Revenue raising measures BRL Bn

	Government		XP	Collected up to May
	1th Bimonthly report	2th Bimonthly report		
Change on ICMS subsides	25.9	25.9	24.3	NI
Online bets taxation	0.7	0.7	2.8	-
E-commerce taxation	-	-	1.0	-
Exclusive funds taxation	13.3	13.3	15.5	13.0
Taxation of investments abroad	5.6	5.6	5.3	7.3
Change of interest on equity (IoE)	-	-	-	-
Credit recovery at the board of tax appeals (CARF)	55.6	55.6	30.0	NI
Tax transactions	43.2	43.2	15.0	NI
Review of railway concession contracts	17.2	10.8	6.0	-
Payroll tax exemption	-15.8	-15.8	-6.3	-6.6
Change in events sector tax exemption (PERSE)	6.0	6.0	-	-
Social security tax relief for municipalities	-2.5	-2.5	-5.8	-3.3
Limiting tax compensations	24.0	24.0	20.0	NI
Petrobras extraordinary dividends	-	12.0	12.0	-
Total	**173.3**	**178.8**	**119.8**	**10.4**

Source: 2024 budget, bimontly report, XP
NI: Not informed

Expenditure growth puts pressure on the fiscal framework. Social security and welfare benefits continue to grow well

above inflation. We believe that social security and welfare benefits are underestimated at approximately BRL 20 billion, which should put pressure on discretionary spending. On the revenue side, we continue to notice that revenues from measures related to CARF, tax transactions, and the change in ICMS subsidies are well below initial estimates, which implies a revision in the forecast for the rest of the year.

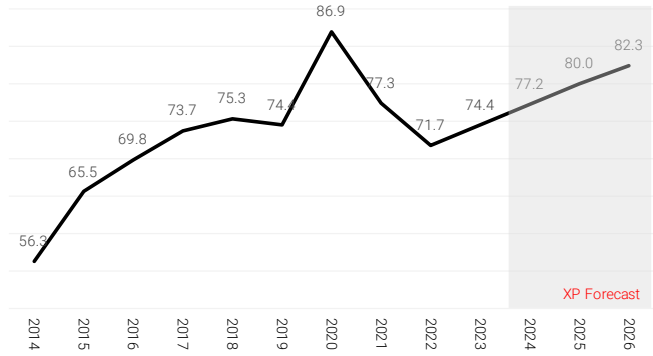
Small changes for 2025. There has been a slight improvement in the primary balance for calculating the target (which excludes court-ordered debts paid beyond the constitutional sub-limit), which should reach a deficit of BRL 78.5 billion (0.6% of GDP) compared to BRL 80.1 billion (0.7% of GDP) in the previous projection. However, due to an increase in expenditure on court-ordered debt (from BRL 89 billion to BRL 103 billion), we expect a deficit of BRL 120.1 billion (1.0% of GDP) in the full primary balance indicator.

Regional governments should make a positive contribution to the public sector. The BRL 1.1 billion deficit in May was well above that recorded last year (BRL -6.8 billion) and was influenced by the acceleration in spending due to the electoral cycle. We have a more positive outlook for states and municipalities this year, in the wake of the recovery in ICMS tax collection and greater transfers from the federal government. **As a result, we estimate a deficit of BRL 61.9 billion in 2024 (0.5% of GDP) and BRL 95.9 billion in 2025 (0.8% of GDP) for the consolidated public sector.**

Public debt continues to rise. With high interest rates for longer - an indirect consequence of the unbalanced fiscal policy - and a composition with a heavy weight on floating-rate bonds, the implicit cost of the debt should remain high until 2025 yearend. Our estimates suggest that the general government gross debt to GDP ratio should reach 77.2% in 2024 and 80.0% in 2025 (compared to 77.3% and 80.1% in the previous projection).

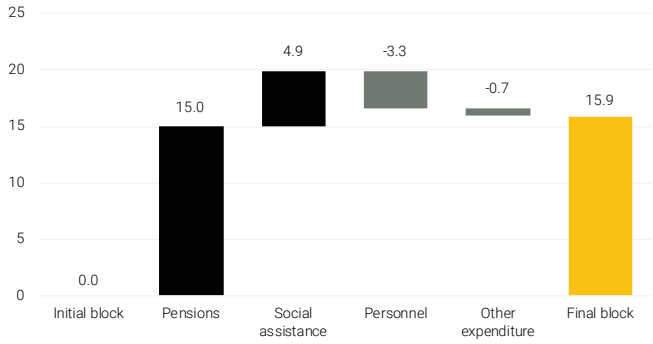
Spending freezing and blocking are under discussion. On July 22nd, the government will release another primary revenue and expenditure assessment report (RARDP, acronym in Portuguese). This document should provide important signals, particularly as regards the need for freezing and blocking of discretionary spending. We estimate that a BRL 41 billion freezing (or BRL 26 billion, plus BRL 15 billion of budgeted but not executed expenditures) would be necessary to reach the lower limit of the primary balance target, and a BRL 16 billion blocking (which could reach up to BRL 29 billion in a scenario where social security maintains its current growth rate) should be required to comply with the spending limit. We believe that the amount that the government freezes/blocks will be key to demonstrating its commitment to achieving the primary balance target and maintaining the fiscal framework.

Debt should rise, driven by interest payments
General government gross debt (% of GDP)



Source: BCB, XP

Increase in mandatory expenditure should lead to a block in discretionary expenditure this year
(BRL Bn)



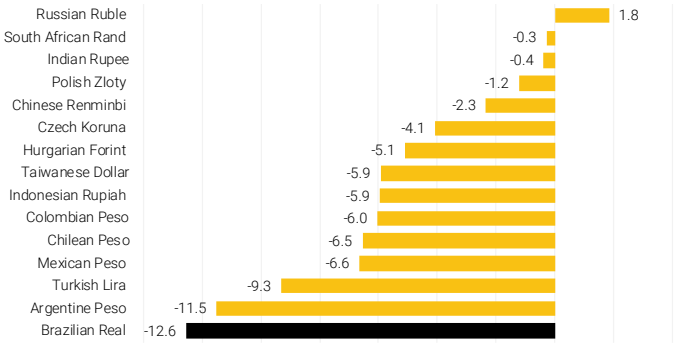
Source: XP

External Sector – Sharp exchange rate depreciation amid worsening risk perception

Rodolfo Margato

Exchange rate at its highest levels since the end of 2021. The Brazilian exchange rate depreciated around 8% in June and 13% in the year to date, a much weaker performance compared to emerging peers. This dynamic reflects the worsening risk perception regarding the conduct of domestic economic policy. Concerns about the sustainability of the fiscal framework have intensified, given the higher-than-expected increase in mandatory spending combined with signs of exhaustion in the adjustment of public finances based on revenue-raising measures (see section on *Fiscal Accounts*). Furthermore, there is uncertainty about the credibility of monetary policy in the coming years, with growing doubts about the Central Bank's reaction to possible political pressures on interest rate decisions (see section on *Monetary Policy*).

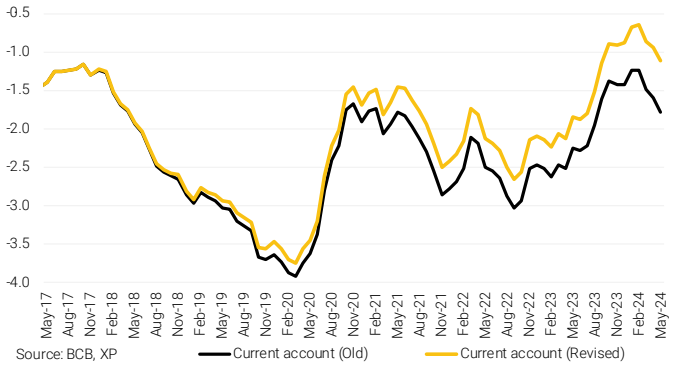
BRL has the worst performance against the EMs
EM currencies spot returns YTD (%). Negative = depreciation.



Source: BBG, XP

We project BRL/USD 5.40 for the end of 2024. We believe that part of the risk premium incorporated into Brazilian financial assets tends to be permanent. Hence, the exchange rate will remain under pressure in the coming months, above the levels suggested by economic fundamentals (around BRL/USD 5.25, according to our short-term models). We foresee some decompression by the end of the year, with the beginning of the Fed's monetary easing cycle and a partial dissipation of political noise. Our base scenario now predicts BRL/USD 5.40 for the end of 2024, considerably above the BRL/USD 5.00 we expected before the deteriorating perception of local economic policy. We forecast BRL/USD 5.40 in 2025 as well, although recognizing the higher-than-usual uncertainties in the current context.

Methodological revision in the accounting of cryptoassets affects the current transactions trend
(% of GDP)



Source: BCB, XP

Methodological review affects balance of payments projections. As announced by the Central Bank in its latest report on the External Sector, purchases and sales of crypto assets will be reclassified from the trade balance (which is included in current transactions) to the capital account. This methodological change reduced our projection for imports by USD 18 billion (0.8% of GDP), leading to a corresponding impact on the capital account (see table).

External accounts remain favorable, despite the worsening compared to last year. Our projection for the current account would be revised from -USD 40.5 billion to nearly -USD 50.0 billion, due to larger than expected deficits in services and primary income accounts in the recent period. Considering the reclassification of crypto assets, nonetheless, we now forecast a lower current account deficit at the end of 2024 (-USD 34.5 billion or -1.6% of GDP). For 2025, we expect -USD 31.0 billion (-1.4% of GDP) amid the increase in the trade balance. In turn, our projections for net inflows in Foreign Direct Investment

XP Forecasts for the Balance of Payments: 2024

	Old		Actual	
	USD Bn	% of GDP	USD Bn	% of GDP
Current Account	**-40.5**	**-1.9**	**-34.5**	**-1.6**
Trade Balance	65.0	3.0	84.0	3.9
Exports	348.0	16.0	350.0	16.1
Imports	283.0	13.0	266.0	12.2
*Criptoassets**	18.0	0.8	–	–
Services	-41.0	-1.9	-47.5	-2.2
Primary Income	-64.5	-3.0	-71.0	-3.3
Financial account	**-47.5**	**-2.2**	**-49.5**	**-2.3**
FDI	67.0	3.1	67.0	3.1
Capital account	**0.2**	**0.0**	**-17.8**	**-0.8**
*Criptoassets**	–	–	18.0	0.8
Balance of Payments	**-87.8**	**-4.0**	**-101.8**	**-4.7**

* Methodological review reclassified non-issuer cryptoassets from the trade balance to the capital account

Source: BCB, XP

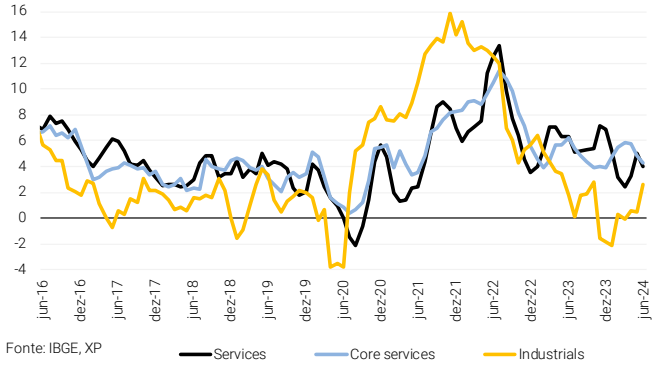
(FDI) remained at USD 67.0 billion for 2024 (3.1% of GDP) and USD 73.0 billion for 2025 (3.2% of GDP).

Inflation – Fundamentals suggest upward pressure ahead; we lifted our IPCA forecast to 3.8% in 2024 and 4.3% in 2025

Alexandre Maluf

Recent readings do not change the overall picture of short-term inflation... The June mid-month IPCA-15 reading surprised the market to the downside, mainly due to a negative variation in airfare. Foodstuff inflation remains high due to floods in Rio Grande do Sul and adverse weather conditions in other regions of the country - we expect moderation in this group starting in July, which has already been reflected in high-frequency price collections. Industrial goods continue on a benign trajectory, although we are beginning to see some acceleration at the margin, in line with the reacceleration of PPIs, a scenario that we have been drawing attention to since the beginning of the year. Underlying services, which exclude airfare and other volatile items, have cooled at the margin but remain above the target of 3% for this year. As a result, the average of core inflation measures has slightly deviated from the target but remains well-behaved compared to historical standards. In short, short-term signals remain largely unchanged.

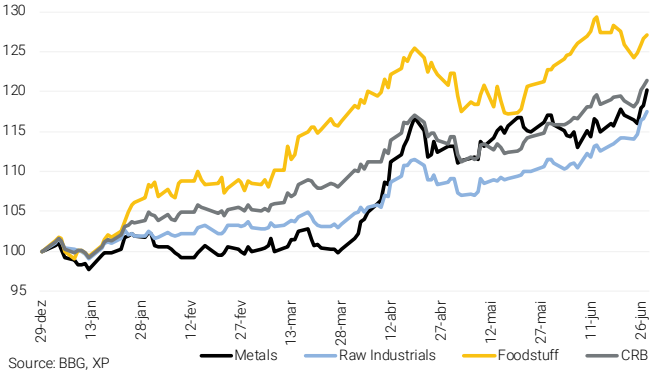
Services remain at challenging levels, while industrial prices rebound
3MSAAR (%)



However, a more depreciated exchange rate is expected to put pressure on prospective inflation. As mentioned above, we currently project the exchange rate at R$/US$ 5.40 in 2024 and 2025. The impact on inflation has already been felt on imported food products, such as wheat and dairy products. Regarding manufactured goods, we expect a later passthrough starting in the last quarter of this year, but with a greater impact in 2025.

Therefore, we have raised our projection for food prices in 2024 from 5.0% to 5.5% and from 4.9% to 5.8% in 2025. According to our calculations, inflation for industrial goods increases from 2.4% in 2024 to 3.2% in 2025 (2.1% and 2.7% before, respectively). We have not substantially changed our view on monitored goods, although we recognize the risk of higher fuel prices as early as 2024, given the current lag in relation to international prices (see details in the table aside).

Commodities in BRL rise, imposing pressures on prospective inflation
Dec/23=100, BRL



The labor market remains positive but brings risks ahead. In seasonally adjusted monthly terms, the unemployment rate has fallen to its lowest level in over ten years. More relevant to inflation, real wages have started to accelerate at the margin, both in the PNAD and in Caged report, and news shows that the vast majority of collective wage agreements have been above inflation. Therefore, it represents a risk to prospective

inflation if the scenario persists. Our projection for underlying services inflation is currently at 5.2% and has an upward bias. For now, what prevents us from raising it further are the sectoral data on Unit Labor Costs, which have not yet returned to pre-pandemic levels.

Deteriorating inflation expectations. Another key element for medium-term inflation is that inflation expectations continue to rise. Since our last monthly report, the median of the Focus Bulletin for 2024 inflation has increased by 0.12pp to 4.00% and by 0.10pp for 2025. In addition, fiscal risks have increased, and uncertainties remain high regarding the conduct of monetary policy going forward. Given all the abovementioned inflationary elements, **we project IPCA of 3.8% in 2024 (previously 3.7%) and 4.3% in 2025 (previously 4.0%).**

IPCA Groups — YoY (%)

	2022	2023	2024 (F)	2025 (F)
Monitored prices	-3.8	9.1	3.4	4.5
Market-set prices	9.3	3.1	3.8	4.3
Food at home	13.2	-0.5	5.0	5.8
Industrials	9.6	1.1	2.2	3.2
Services	7.6	6.2	4.3	4.4
IPCA	**5.8**	**4.6**	**3.7**	**4.3**

Source: IBGE, XP

Monetary Policy – How high is the bar to hike?

Caio Megale

Future DI markets are **pricing in a tightening cycle beginning in the second half of the year.** At the same time, Copom members have said explicitly that the Selic rate is already at sufficiently restrictive level, and **hiking rates is not in the Copom's flight plan**. Something's gotta give.

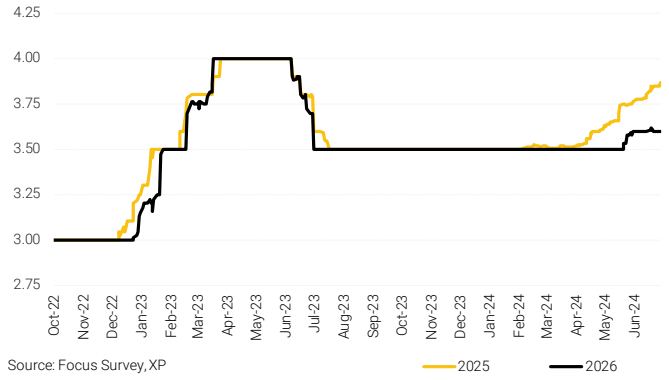
Monetary policy is indeed in a quite restrictive territory. The Copom updated its estimate for the real neutral interest rate, increasing it marginally to 4.75% from 4.50% (we see it at 5.00%), still considerably below current real *ex-ante* rates (around 7%).

However, all other inflation drivers suggest higher pressure ahead. International commodity prices are marginally up year-to-date. The BRL is weaker due to higher risk perception and because the potential capital inflows generated by the positive balance of payments are lower than anticipated – as shown by the Central Bank´s Q2 Inflation Report. Economic activity has been surprising to the upside, and the Copom now sees a narrower output gap than previously estimated.

Last, but definitely not least, fiscal policy remains expansionary. Primary spending is up more than 10% year-to-date in real terms, way above the limit defined by the fiscal law. Revenues are strong, but not enough to balance the public budget. Expansionary fiscal policy is a key reason behind the inflationary drivers aforementioned.

Our simulations suggest that, with current values for the inflation drivers (FX, Oil, Inflation Expectations, Output Gap), **a stable Selic rate would keep the Copom's inflation forecasts a bit above the target in 2026 (see table).** In our baseline scenario, we see the BRL stabilizing below 5.50 and inflation expectations rising just a bit more, to around 4.0%. **Thus, we keep our view of a flat policy rate until 2025 yearend.**

Fundamentals suggest higher inflation ahead
Median of market expectations (%)



Source: Focus Survey, XP

Projections for 2025 IPCA inflation with the Selic rate flat a 10.50%

		Exchange Rate (BRL/USD)			
		5.20	5.40	5.60	5.80
Expectation for 2025 IPCA inflation (Focus)	3.60	2.9	3.1	3.4	3.6
	3.80	3.0	3.3	3.5	3.8
	4.00	3.1	3.4	3.6	3.9
	4.20	3.3	3.5	3.8	4.0

Source: BCB, IBGE, XP.

Note: Simulations based on the Copom model

A worse combination of FX and inflation expectations, however, would put in jeopardy the target path with a flat Selic rate (see table). If the exchange rate continues to be devalued and stabilizes at, say, 5.80 reais per dollar, our models suggest that the IPCA inflation expectations (in the Central Bank's Focus survey) for 2025 and 2026 would rise to 4.1% and 3.7%, respectively. With this combination, the Copom model with a constant Selic rate would point to inflation at 3.8% in 2025 and 3.5% in 2026. In our view, this is the threshold from which the Copom would start to raise interest rates: Copom's 2026 IPCA forecast at 3.5%.

Under those circumstances, we estimate that the Copom would need to hike some 125bps/150bps starting in the second half of this year to bring 2026 forecast back to target (or 200bps to bring 2025 forecast to the target).

Market pundits (and some Copom members) may have a different view regarding the threshold for Copom's reaction. The tables below offer estimates for IPCA inflation in 2025 and 2026 when replicating the Copom´s model, considering the Selic rate constant at 10.50% and different combinations of inflation expectations and exchange rate. If, for example, one believes that 2026 inflation projection above the target is the threshold, current conditions already demand a contractionary reaction from the Copom.

Thus, in the absence of an improvement in the risk premium, we may start seeing split Copom decisions ahead, with one or more members voting for a hike in the policy rate.

Projections for 2026 IPCA inflation with the Selic rate flat a 10.50%

		Exchange Rate (BRL/USD)			
		5.20	5.40	5.60	5.80
Expectation for 2026 IPCA inflation (Focus)	3.60	2.7	2.9	3.1	3.2
	3.80	2.8	3.0	3.2	3.4
	4.00	3.0	3.2	3.4	3.6
	4.20	3.1	3.3	3.5	3.7

Source: BCB, IBGE, XP.

Note: Simulations based on the Copom model

Initial assumption for 2026 IPCA inflation: 2.8%

XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	2.2	1.7
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	7.3	7.5
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	3.8	4.3
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	10.50	10.50
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	5.40	5.40
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.7	-1.0
Primary balance for target calculation (% GDP)*	–	–	–	–	–	-0.5	-0.6
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.5	-0.8
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	77.2	80.5
Trade Balance (USD Bn)**	26.5	32.4	36.4	44.2	80.5	84.0	89.0
Exports (USD Bn)	225.8	210.7	284.0	340.3	344.4	350.0	362.0
Imports (USD Bn)	199.3	178.3	247.6	296.2	263.9	266.0	273.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-48.3	-28.6	-34.5	-31.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.5	-1.3	-1.6	-1.4
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	67.0	73.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.1	3.2
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,180	2,290
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,529	12,243

* Excludes court-ordered payments beyond the limits and aid to RS

** Historical data series does not yet consider the reclassification of cryptoassets transactions

Source: IBGE, BCB, Bloomberg, XP

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